

CHAPTER 9

FAMILIES WITH MONEY

We've already shared a number of stories about wealthy families in this book. However, there's much to learn from families that have succeeded, as well as from the ones that failed.

And most families do fail. Ninety percent of family-owned businesses do not last past three generations of ownership. And the ones that do succeed for longer can still have a dramatic falling out when things go bad. That's why you can read about so many scandals about wealthy families in the newspapers.

The reasons why they fail are as numerous as raindrops in a downpour.

There are so many things that can go wrong. After all, we're dealing with human beings and the complicated relationships that can develop among family members.

Sometimes there are deeply rooted biases that fuel family fights.

These biases develop over time between siblings who grow up together. Lee Hausner and Douglas K. Freeman, the authors of the book *The Legacy Family*, call these biases "headsets."¹

These headsets, or biases, tend to muddy the waters of family conflicts. They blend multiple issues and emotions.

Family mediators, the family elders, and/or the matriarch need to untangle this mess and deal with one issue at a time.

They can do this by, first, clearly identifying the problem and the conflicting interests. Then they can brainstorm to identify the joint interests and options for resolution. They should set a tangible, mutually beneficial objective that can be reached by the most desirable option of resolution for both parties.

But what often happens is that, in later generations, there are no moderators with authority in the family to help settle disputes.